

At this stage, you will begin to determine your planned retirement budget. How will it differ from preretirement, how will it adjust for inflation, and how is it divided between essential and discretionary expenses? We will also need to determine the appropriate planning age for your retirement journey based on objective factors like your health status and subjective factors like your longevity risk aversion. We also need a proper accounting of the available assets and the legacy goals, and we can provide estimates about potential contingencies based on your RIO scores. Since there is a great deal of uncertainty about potential contingencies, we will also apply scenario analysis to see how the funded status would be impacted by various spending shocks in retirement. This helps create a more complete retirement balance sheet.

A funded ratio of one means that a retiree has just enough assets to meet his or her liabilities, while overfunded and underfunded individuals have more or less than this, respectively. A nice feature of the funded ratio is that our calculations are made with a simple assumption that investment assets are only allocated to inflation-protected bonds. This lets us see whether you are able to meet your goals without taking market risk, which can provide better context about how much investment risk you may desire or need when determining the right asset allocation for your plan. If you have already won the game by having sufficient assets without taking risk, this can be helpful in deciding just how much risk to take. The funded ratio does not use Monte Carlo simulation. Such simulation comes later when we develop your personal benchmark analysis.

We can consider your funded measures both from the perspective of the overall RIO-Map and for different subcomponents of the map. An important output of this analysis is that it also provides the relative sizes of the different components of RIO-Map. This allows us to look for gaps, such as whether there is sufficient reliable income to cover essential expenses, or whether sufficient reserve assets are available to cover contingencies. This will guide further analysis within retirement income funding to find strategic allocations to help balance and optimize your RIO-Map.